KNECK OFFICIAL

Business Studies — Paper 1

565/1 • ORIGINAL REVISION SET 01 • 2 hours • 100 marks

Name: _____ Class: _____ Date: _____

Independent KCSE-style practice. Not issued, endorsed or predicted by KNEC. These are original questions, not leaked or past official papers. Component numbering is checked against the KNEC 2026 timetable. A teacher should review these practice materials before formal classroom assessment.

CANDIDATE INSTRUCTIONS

Answer all twenty short structured questions. Each question carries 5 marks. Give distinct points rather than repeating the same idea.

Use a separate answer booklet. Show working where appropriate. The marking guidance begins after the END OF QUESTIONS page; do not consult it until you finish. Practical and project components require the stated equipment and teacher supervision, not merely a printed worksheet.

SHORT STRUCTURED QUESTIONS

20 questions.

1. State five characteristics of human wants. [5 marks]

2. Name the four factors of production and state the reward for each; then distinguish enterprise from labour. [5 marks]

3. State five sources of business ideas. [5 marks]

4. Give five advantages of a sole proprietorship. [5 marks]

5. State five reasons for preparing a business plan. [5 marks]

6. Give five functions of wholesalers. [5 marks]

7. State five factors to consider when choosing a transport mode. [5 marks]

8. Give five benefits of containerisation. [5 marks]

9. State five services of commercial banks. [5 marks]

10. Explain the difference between saving and investment, and give three reasons for saving. [5 marks]

11. Give five principles of insurance. [5 marks]

12. State five roles of the central bank. [5 marks]

13. Give five functions of money. [5 marks]

14. State five factors affecting demand apart from own price. [5 marks]

15. Give five reasons governments tax. [5 marks]

16. State five consumer rights. [5 marks]

17. Give five benefits of internal trade. [5 marks]

18. State five causes of inflation. [5 marks]

19. A trader has assets KSh 240,000 and liabilities KSh 85,000. Find capital; state the accounting equation and explain what capital represents. [5 marks]

20. Give five ethical business practices. [5 marks]

END OF QUESTIONS

MARKING GUIDANCE

Business Studies • Paper 1 • Set 01

Suggested answers and assessment guidance, not an official marking scheme. Accept equivalent correct reasoning, valid examples and properly justified alternative methods. Marks for an item must not exceed its printed allocation. For essays use relevant textual evidence and the rubric; no plot summary alone.

SHORT STRUCTURED QUESTIONS

1. (5 marks) Unlimited,recurring,competitive,complementary,vary with time/person,cannot all be satisfied; any five.

2. (5 marks) Land-rent,labour-wages,capital-interest,enterprise-profit (4); enterprise organises/risk-bearing versus labour effort (1). There are four main factors, not five; fifth mark is distinction.

3. (5 marks) Consumer needs,personal skills,research,existing products/market gaps,technology,trade fairs/local resources; any five.

4. (5 marks) Easy formation,quick decisions,owner control,profit retention,privacy,flexibility,close customers; five.

5. (5 marks) Feasibility,finance,objectives,budgeting,risk planning,monitoring,communication; five.

6. (5 marks) Bulk breaking,storage,transport,finance,market information,risk bearing,distribution; five.

7. (5 marks) Cost,distance,urgency,load nature/value,quantity,reliability,accessibility; five.

8. (5 marks) Reduced handling,security,intermodal transfer,less damage,faster loading,lower packaging costs; five.

9. (5 marks) Deposits,lending,payments/transfers,foreign exchange,safe custody,standing orders,advice; five.

10. (5 marks) Saving postpones consumption/retains funds versus investment commits resources for future returns (2); emergencies,goals,future purchases/security three (3).

11. (5 marks) Utmost good faith,insurable interest,indemnity,subrogation,contribution,proximate cause; any five.

12. (5 marks) Currency issue,banker to government,banker to banks,lender last resort,monetary policy,bank supervision/reserve management; five.

13. (5 marks) Medium exchange,unit account,store value,standard deferred payment,transfer value with clear distinction; five.

14. (5 marks) Income,tastes,related goods prices,population,expectations,advertising; five.

15. (5 marks) Revenue,redistribution,discourage harmful consumption,stabilise economy,protect industry/guide resources; five.

16. (5 marks) Safety,information,choice,redress,representation,education,basic needs,healthy environment; five.

17. (5 marks) Distribution,jobs,specialisation,markets,tax revenue,standard of living,regional links; five.

18. (5 marks) Excess demand,higher input costs,money supply growth,imported inflation,supply shocks,exchange depreciation,qualified explanations accepted; five.

19. (5 marks) Capital=155,000 (2); Assets=Capital+Liabilities (1); owner's residual interest/net worth (2).

20. (5 marks) Honest advertising,fair wages,safe products,lawful taxes,privacy,environmental care,no bribery; five.

REVISION CHECK

Mark your work, list three misconceptions, revise those topics and attempt the incorrect questions again without the guide. These topics are revision priorities, not a forecast of the real examination.

Paper/component reference: https://www.knec.ac.ke/wp-content/uploads/2026/02/2026-KCSE-Timetable.pdf